



Security Review For Liquid Bitcoin Foundation



Collaborative Audit Prepared For: **Liquid Bitcoin Foundation**
Lead Security Expert(s): **Bauchibred**
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Introduction

LBTC is liquid, yield-bearing, natively cross-chain, and 1:1 backed by bitcoin. This security review focused entirely on the BARD token from Liquid-Bitcoin/BARD at main branch.

Scope

Repository: Liquid-Bitcoin/BARD

Audited Commit: 94066790393758eb817e50be318f1fb427c5d3c0

Final Commit: 94066790393758eb817e50be318f1fb427c5d3c0

Files:

- contracts/BARD/BARD.sol
- contracts/BARD/IBARD.sol

Findings

Each issue has an assigned severity:

- Medium issues are security vulnerabilities that may not be directly exploitable or may require certain conditions in order to be exploited. All major issues should be addressed.
- High issues are directly exploitable security vulnerabilities that need to be fixed.
- Low/Info issues are non-exploitable, informational findings that do not pose a security risk or impact the system's integrity. These issues are typically cosmetic or related to compliance requirements, and are not considered a priority for remediation.

Issues Found

High	Medium	Low/Info
0	0	1

Issues Not Fixed and Not Acknowledged

High	Medium	Low/Info
0	0	0

Issue L-1: Incorrect docs in regards to mint timing

Source: <https://github.com/sherlock-audit/2025-06-lombard-june-13th/issues/33>

Summary

The code comment "first mint not allowed until 1 year after deployment" is misleading since an initial mint actually occurs immediately after in the constructor.

Vulnerability Detail

BARD::constructor():

```
constructor(  
    address _initialOwner,  
    address _treasury  
) ERC20("Lombard", "BARD") ERC20Permit("Lombard") Ownable(_initialOwner) {  
|>    // first mint not allowed until 1 year after deployment  
    lastMintTimestamp = uint40(block.timestamp);  
    if (_treasury == address(0)) revert ZeroAddressException();  
    // mint initial supply  
    _mint(_treasury, 1_000_000_000 * 1 ether);  
}
```

This comment suggests that no minting is allowed for a year after deployment, when in fact the contract immediately performs an initial mint of 1 billion tokens in the very next lines.

Recommendation

Change the comment to "first additional mint not allowed until 1 year after deployment" to accurately reflect that only subsequent mints after the initial supply are restricted by the time lock.

Discussion

le0n229

it is already fixed <https://github.com/Liquid-Bitcoin/BARD/commit/735a90f771737a7a6e8b4ec52be78d3457b3750e> , please check

lpetroulakis

fixed at <https://github.com/Liquid-Bitcoin/BARD/commit/735a90f771737a7a6e8b4ec52be78d3457b3750e>

Disclaimers

Sherlock does not provide guarantees nor warranties relating to the security of the project.

Usage of all smart contract software is at the respective users' sole risk and is the users' responsibility.